

Coinbase Global, Inc.

COIN | October 4, 2026

SELL

Fair value (12-mo horizon reference)	\$100.00
Current price (October 2, 2026 close)	\$183.00
Implied upside / downside	-45%
Verdict	SELL

Investment Thesis

Coinbase is the premier onshore crypto exchange: the most trusted brand in the industry, the custodian of choice for the spot bitcoin ETFs, and a genuine beneficiary of improving US regulatory clarity. These are real strategic assets, and in a bull-market for digital assets the company's operating leverage is spectacular — incremental trading volume drops almost entirely to the bottom line.

The problem is that the operating leverage works in both directions, and crypto trading volume is among the most cyclical revenue streams in financial markets. Retail participation — the source of Coinbase's highest-margin take rates — surges during speculative manias and evaporates in drawdowns; history shows 50%+ volume contractions are routine, not tail events. At \$183.00, the market is capitalizing elevated-cycle trading revenue as though the mania phase were the permanent run rate.

The structural pressures compound the cyclicity. Zero-commission crypto trading at traditional brokerages is compressing retail take rates across the industry; sophisticated volume increasingly migrates to venues competing on fractions of a basis point. Coinbase's subscription and services revenue — staking, custody, USDC interest, and Base sequencer fees — is growing and diversifying, but it remains a minority of the total and is itself partly crypto-price-linked.

One more consideration: Coinbase's valuation embeds an assumption that crypto's institutionalization accrues primarily to Coinbase. But institutionalization commoditizes access — ETFs, bank prime brokerage, and tokenized traditional assets all route around the retail exchange model. The more legitimate crypto becomes, the more competition Coinbase faces from institutions with lower cost structures and deeper distribution. Success of the asset class and success of this equity are diverging, and the price assumes they are the same trade.

Our probability-weighted fair value is \$100.00, 45% below the current price — the widest downside in our coverage, reflecting the violence of crypto revenue cycles. Regulatory clarity is a genuine long-term positive, but it is already in the price several times over. Until the shares reflect mid-cycle rather than peak-cycle

earnings power, they are a sale. SELL.

Business Overview

Coinbase operates the largest US cryptocurrency exchange, serving retail traders through its consumer platform and institutions through Coinbase Prime, custody, and financing services. Transaction revenue — spreads and fees on trading — has historically driven the majority of revenue and virtually all of the earnings volatility. Subscription and services revenue includes staking rewards, custodial fees, interest on USDC reserves, and fees from the Base layer-2 network.

The company's moat rests on regulatory compliance, brand trust earned by surviving multiple crypto winters without solvency questions, and its entrenched position in institutional custody infrastructure. These advantages are durable; they do not make revenue less cyclical.

Forward Outlook

Base, the layer-2 network, is the most interesting long-term option in the portfolio: sequencer fees scale with onchain activity and carry software-like margins. We model it growing into a meaningful contributor by the end of the decade. But it is still small relative to transaction revenue, its economics depend on sustained onchain activity that has historically been as cyclical as trading, and monetization could attract exactly the regulatory scrutiny the industry is trying to escape.

Our judgment is that crypto trading volumes are closer to a cyclical peak than a permanent plateau. The speculative fervor that drove record volumes is already cooling, and the pattern of prior cycles — euphoria, drawdown, dormancy — argues that the next 18 months bring materially lower retail participation. When volumes fall, they fall fast: Coinbase's cost base is largely fixed in the short term, so revenue declines translate almost one-for-one into earnings declines.

Regulatory clarity in the US is the most constructive long-term development in the company's history, and we expect it to expand the addressable market over five years — more institutions, more products, more onchain activity on Base. But clarity also invites competition: every major brokerage and bank can now credibly offer crypto services, and their distribution advantages will pressure Coinbase's retail take rates structurally, not just cyclically.

The subscription and services businesses deserve credit for compounding through cycles, and we model them growing steadily. They are not, however, large or stable enough to offset a halving of transaction revenue — which is what prior crypto winters delivered. Our valuation assumes mid-cycle volumes, and mid-cycle Coinbase earns far less than peak-cycle Coinbase. The market has not made that adjustment.

Valuation

We value Coinbase on a 10-year scenario DCF at a 12% base discount rate, reflecting the speculative, highly cyclical nature of crypto-linked revenues, with terminal value on normalized mid-cycle margins — not the peak margins of a volume mania. Our bear case assumes a full crypto winter: trading volumes fall more than 50%, retail take rates compress under brokerage competition, and the company burns through the earnings cushion built during the boom. The base case assumes mid-cycle volumes with gradual growth in subscription and services providing a stabilizing floor. The bull case assumes sustained elevated crypto adoption, successful monetization of Base, and take-rate stability.

Probability-weighting the scenarios 25% / 50% / 25% produces a fair value of \$100.00, our target. The bear case sits dramatically below the current price — the honest reflection of a business whose revenue can halve in a year.

Key Risks

- Crypto winter: a 50%+ contraction in trading volumes would collapse transaction revenue and earnings.
- Take-rate compression as zero-commission brokerages and banks compete for retail crypto flow.
- Crypto asset price declines directly reducing custody, staking, and USDC-reserve economics.
- Regulatory reversal or adverse rulemaking despite the current constructive direction.
- Security events: a major hack or outage would damage the trust-based moat.
- Concentration of profitability in the most cyclical revenue stream in financial services.
- Competition from banks and brokerages offering crypto custody and trading to their existing customer bases.
- Stablecoin regulation compressing USDC reserve economics, a key services-revenue contributor.

What Would Change Our Mind

- Subscription and services revenue exceeding 60% of total revenue for a full year, proving the business has genuinely diversified past volume cyclicalities.
- Coinbase maintaining retail take rates through a full crypto drawdown, evidencing structural pricing power.
- Trading volumes stabilizing at mid-cycle levels with the shares priced accordingly.
- The shares declining toward our target while regulatory clarity continues to expand the institutional franchise.
- Base sequencer revenue reaching 15%+ of total revenue with stable unit economics — evidence of a genuine second engine.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8–8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case. We value this business over a 10-year horizon at a 12% base discount rate.

Disclaimer

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